

time. Industry will increasingly rely on companies that can concentrate on the technologies and skilled personnel needed to do specialized jobs.

MONEY MANAGEMENT

Most governments in the Western world have made promises to their people that they will be taken care of. In the United States those promises have been carried out in programs such as Social Security, Medicare, and Medicaid. Other countries have similar programs under various names.

These programs have worked as a kind of Ponzi scheme. The people who thought up Social Security in the first place knew it was unsound—and probably unconstitutional—but they wanted to do it anyway, because they thought people would like it. And they were correct. For Americans, it was an imported idea. Germany's Bismarck was the first to introduce a socialist insurance scheme. He was also the one who decided on sixty-five as the retirement age. He was very clever, since few people lived to be sixty-five back then. Today, sixty-five is considered middle-aged.

The working population has been taxed to pay the pensions of the retired population, and as long as there were plenty of workers and not too many retired people, the scheme worked well enough. But Ponzi schemes fail after a while because there aren't enough people to supply the new money to keep the game going. This has now happened for governments. Demographics have gone against them: birthrates have declined to the point where there are no longer rapidly expanding workforces, whereas life expectancies have increased, leaving many more retirees drawing their pensions for far more years. The numbers no longer work. The scheme has collapsed.

Governments now realize that if they try to honor their existing promises, they will either have to raise taxes on workers to the point where they will revolt and refuse to pay them, or reduce ben-